

**BEFORE THE
FEDERAL MARITIME COMMISSION**

	)	
WAN HAI LINES, LTD.	)	
AND WAN HAI LINES (USA) LTD. –	)	DOCKET NO. 21-16
	)	
POSSIBLE VIOLATIONS OF 46 U.S.C. § 41102(C)	)	
	)	

**RESPONDENTS’ OPPOSITION TO MOTION FOR LEAVE TO INTERVENE AND
SUPPLEMENTAL BRIEFING**

Pursuant to 46 C.F.R. §502.68(b)(3), Respondents Wan Hai Lines, Ltd. and Wan Hai Lines (USA) Ltd. (“Respondents”), through the undersigned attorneys, hereby oppose the Motion For Leave To Intervene filed by Orange Avenue Express, Inc. (“OAE”)(hereinafter, the “Motion”) and provide supplemental briefing in response to the Order Requiring Supplemental Briefing entered on May 25, 2022 (the “Order”).

I. Introduction

OAE seeks leave to intervene both as a matter of right under 46 C.F.R. §502.68(c)(1) and as a matter of discretion under 46 C.F.R. §502.68(c)(2)(i). As explained below, the Motion should be denied.

II. The Motion Does Not Meet The Criteria For Intervention As A Matter Of Right

The Motion must be denied because it does not meet the criteria for intervention as a matter of right.

Under 46 C.F.R. §502.68(c)(1), intervention as a matter of right is to be granted to anyone:

...who claims an interest relating to the property or transaction that is the subject of the proceeding, and is so situated that disposition of the proceeding may as a practical matter impair or impede the ability of such person to protect its interest...

The Commission has held that in applying the foregoing regulation “The key is whether the person seeking intervention ‘will gain or lose by the direct legal operation of the judgment’ in the proceeding.” *Revocation of OTI License No. 017843 – Washington Movers, Inc.*, 34 S.R.R. 27, 31 (FMC 2016), citing *Contract Marine Carriers, Inc.*, 21 S.R.R. 1387 (FMC 1982). OAE does not meet the applicable legal standards.

As an initial matter, OAE has no interest whatsoever in the twenty-one (21) containers that are the subject of this proceeding, and does not claim such an interest in the Motion.

Moreover, OAE will not gain or lose by the direct legal operation of disposition of this proceeding be it by the issuance of a decision or approval of a settlement. The Commission has made clear that “Each section 41102(c) case would continue to be decided on its particular facts...” 85 *Fed. Reg.* 29638, 29639 (May 18, 2020).¹ Given that each section 41102(c) is decided on its own facts, OAE will not gain or lose by operation of a judgment or settlement in this proceeding.

Furthermore, the disposition of this proceeding will not impair or impede OAE’s ability to protect its interest. To the contrary, OAE has filed a separate proceeding (FMC Docket No. 21-10) in which it is alleging Shipping Act violations. That proceeding enables OAE to fully protect its own interests with respect to the separate transactions that are the subject of Docket No. 21-10, and makes it unnecessary for OAE to intervene in this proceeding. OAE offers no

¹ This is consistent with the Commission’s approach to reasonableness determinations generally, i.e., treating reasonableness as a question of fact. See, e.g., *Investigation of Free Time Practices – Port of San Diego*, 9 F.F.M.C. 525, 547 (FMC 1966)(“It is by application to the particular situation or subject matter that words such as ‘reasonable’ take on concrete and specific meaning.”)

explanation of how a settlement in Docket No. 21-16 requiring adoption of certain practices going forward will in any way impact OAE's claims with regard to past conduct. The reason for this is simple: it will not.

In light of the foregoing, intervention as a matter of right would be inappropriate and the Motion should be denied.

III. The Motion Does Not Meet The Criteria For Permissive Intervention

An analysis of the criteria for granting permissive intervention demonstrates that such intervention should not be granted here, and that the Motion should be denied.

Under 46 C.F.R. §502.68(c)(2)(i), there are four criteria used to evaluate a request for leave to intervene: (i) existence of a common issue of law or fact; (ii) unduly delaying or broadening the scope of the proceeding; (iii) duplication of position of existing party; and (iv) assisting in development of a sound record.

In its motion, OAE asserts that it “does not seek to participate in any discovery but rather seeks intervention to provide its brief on the propriety of the Agreement”. It provides no explanation as to what “insight and perspective” it would add to the proceeding, especially in light of the fact that it has no interest in any of the shipments at issue in the proceeding. Moreover, the subjects OAE cites as examples of what it would cover in its brief will not assist in the establishment of a sound record in this case. For example, OAE cites to the requirement that motor carriers make appointments to return empty containers and to dual transaction requirements. Both of these requirements are established by terminal operators, not ocean carriers. The settlement agreement is with an ocean carrier, and will have no impact on either of those issues.

OAE's allegations that there are "trip wire" requirements for motor carriers also mischaracterizes the impact of the settlement. The FMC's interpretative rule "presupposes that shippers, intermediaries, and truckers have complied with their customary obligations, including those involving cargo retrieval." 85 Fed. Reg. at 29652. The settlement agreement merely articulates some objective criteria that Wan Hai and other stakeholders are able to use going forward to assess such compliance. Additionally, the Bureau of Enforcement (BOE), is already party to this proceeding and as the enforcement arm of the expert agency that adopted the Interpretive Rule on Demurrage and Detention set forth at 46 C.F.R. § 545.5, is certainly able to represent the public interest with respect to the settlement of the issues under consideration. The joint memorandum in support of the settlement addresses all of the factors that must be considered in evaluating a settlement and the Order requires certain additional issues to be briefed more fully.

Given the foregoing, it would appear that any further briefing by OAE would be duplicative, will cause undue delay, and will not assist in any meaningful way in the development of a sound record.

In light of the foregoing, the Motion should be denied.

IV. Additional Briefing Required by the Order

A. Section 5 of the Settlement Agreement

In the Order, the Parties are directed to address whether "Respondents [will] be required to provide a list of 'each terminal utilized by Wan Hai at the relevant port' and if not, how will the shipping public know where containers should be returned?" As noted in the Order, under Section 5D of the Settlement Agreement, Wan Hai undertakes to publish to its website, "a complete list of locations that it has authorized to accept empty Wan Hai containers, updated

daily by 4pm.” This is a listing of all locations to which Wan Hai containers could potentially be returned (subject to any operational limitations that may be imposed by a terminal on any given day).

Currently, when a specific container number is entered on the Wan Hai website, the website provides a default return location. It appeared during the course of discovery and pleading in this proceeding that there may have been confusion on the part of motor carriers who mistakenly believed that the identification of the default return location meant that equipment could be returned *only* to the listed location. To avoid confusion and clarify its intent, Wan Hai agreed to add the disclaimer language in Section 5C indicating that, “the return location information posted on its website with respect to the return of empty equipment in Los Angeles/Long Beach is advisory only and is not intended to constitute an exhaustive list of the locations to which a motor carrier may return Wan Hai equipment.” In other words, Section 5C makes clear that the default location on the Wan Hai website is not the only potential return location and Section 5D identifies the other locations to which equipment could potentially be returned. The list assists motor carriers by identifying the individual terminal websites that should be checked for the most up to date and complete information with respect to the return of Wan Hai equipment.

B. Use of Appointment Systems

In the Order, the ALJ indicated that, “[i]t is not also not clear whether all terminals use an online appointment system, and if not, whether alternative evidence will be acceptable.” Upon information and belief, all terminals at which Wan Hai equipment is authorized to be returned in the Los Angeles/Long Beach market utilize an appointment system for at least some of their shifts. Quite contrary to the assertion made by OAE that “the Agreement is based on the

assumption that an ocean carrier may impose an appointment system for the return of empty containers,” the Settlement Agreement is simply based on the operational reality that terminals (not ocean carriers) utilize appointment systems. In this regard, the Settlement Agreement is meant to address a particular situation, i.e., Wan Hai’s regulations and practices relating to its assessment of detention charges on containers when appointments are unavailable at its return locations. In particular, the Settlement Agreement is meant to set forth a basic process by which a motor carrier can demonstrate that it has satisfied its basic obligations to make a good faith effort to return equipment, but was unable to do so due to the unavailability of appointments. The Settlement Agreement is not meant to address the assessment of detention in other situations (for example, when the purported cause for a motor carrier’s inability to return equipment is unrelated to the availability of appointments) and does not foreclose in any way Wan Hai’s consideration of evidence relating to such other situations.

C. Timing of Screenshots

Under the Settlement Agreement, “[a] person wishing to obtain a waiver or refund of detention charges imposed for a specific date (each such date a ‘Waiver Date’)...must provide a screenshot of the appointment system(s) of each terminal utilized by Wan Hai...taken the day prior to the Waiver Date and on the Waiver Date.” The Settlement Agreement further states that “[s]uch screenshots must be taken not later than three (3) hours following the time at which appointments are made available by the terminal or other facility.” The Order states that “[i]t is not clear how the shipping public will obtain notice of when each terminal releases appointments to know when the three-hour clock should run or if there is a limit on the number of times a day terminals release appointments. The Order also requires the parties to “address whether the

proposed resolution creates an unreasonable burden on trucking companies, beneficial cargo owners, and the shipping public.”

Respondents do not believe the proposed solution creates an unreasonable burden on trucking companies, beneficial cargo owners, or the shipping public. Rather, as noted above, it provides a reasonable framework for an entity seeking a waiver of detention charges to demonstrate that the motor carrier acted diligently in attempting to return Wan Hai’s equipment but was unable to do so because it could not secure an appointment. As noted above, the information required to be submitted is a single screenshot for each day within a reasonable time (3 hours) of when appointments are first released. The Settlement Agreement does not require screenshots to be submitted on a rolling basis each day. Furthermore, in response to the ALJ’s inquiries, Respondents believe that the terminals regularly release appointment information in advance at a consistent time each day. This information is obtainable by simply inquiring with the relevant terminal and, on information and belief, the vast majority of motor carriers that serve the Ports of Los Angeles and Long Beach are familiar with the appointment release times of the marine terminals. With respect to the factual findings in Docket 21-09,² Respondents’ understanding of the statements cited to by the ALJ is that appointment information is updated in real time by the terminals and appointments could be added by the terminal on a rolling basis (for example, if a previously booked appointment is cancelled). This does not mean, however, that appointment information is not available in advance. Rather, the Settlement Agreement requires the party to provide screenshots by a certain time each day (within three hours of the release of appointments) in order to demonstrate a diligent effort to obtain an appointment. If

² Respondents would simply note that they were not party to Docket 21-09, did not participate in the development of the factual record, and do not call at all of the same or as many terminals as the respondents in that proceeding.

additional appointments are released subsequent to that period, frankly, the party seeking the waiver is the one that “benefits” from this in that there is no requirement in the Settlement Agreement that they provide further proof that the motor carrier was unable to obtain one of these subsequently released appointments.

D. Dual Transactions

The Order also instructs the Parties to address “what is meant by ‘a statement from the motor carrier that it attempted in good faith to arrange for a dual-transaction’ and whether such a requirement is consistent with the Demurrage and Detention rule.” As noted in the Order, the Commission has stated that it has some concerns with respect to the reasonableness of dual move requirements “or more specifically, an ocean carrier imposing detention when a trucker’s inability to return a container within free time is due to it not being able to satisfy a dual move requirement.” Respondents believe that the Settlement Agreement is entirely consistent with the Demurrage and Detention rule and, although the Commission has not actually taken direct action to prohibit dual-transaction requirements, recognize that a waiver is appropriate in instances where such a requirement prevents the timely return of equipment.

The required statement under the Settlement Agreement is simply a statement that the motor carrier attempted in good faith to find a pick up transaction to match to the empty return that is the subject of the waiver request, but was unable to do so. The Settlement Agreement indicates that, absent other evidence that forms the basis for the denial of a request, Wan Hai will grant a waiver request on the basis of the motor carrier’s representation that it acted diligently to try to return equipment but could not do so because of a dual-transaction requirement that it could not satisfy. In other words, entirely in line with the Commission’s statement and the Demurrage and Detention rule, absent evidence of other extenuating circumstances, Wan Hai

will not impose detention charges when the reason a container cannot be returned during free time is an inability to satisfy a dual move requirement – as confirmed by a simple statement provided by the motor carrier.

V. Conclusion

For the foregoing reasons, the Motion to Intervene should be denied and the Settlement Agreement should be approved.

Respectfully submitted,

By: _____

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 1st day of June, 2022, the foregoing Opposition was served via electronic mail on:

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By: _____

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